MICROECONOMICS

MICRO-28

Time: 5 minutes

Outcome: Connect Market Structure, Price Taking & Firm Revenue.

Difficulty: ●●○ Intermediate

Market Structure, Price Taking & Firm Revenue

THE CORE IDEA

A perfectly competitive firm takes the market price as given, so price, average revenue, and marginal revenue are equal. Market power changes the firm's revenue conditions; the competitive firm takes price. Price taking makes each sold unit add the same amount to revenue, setting up the later MR-versus-MC output rule.

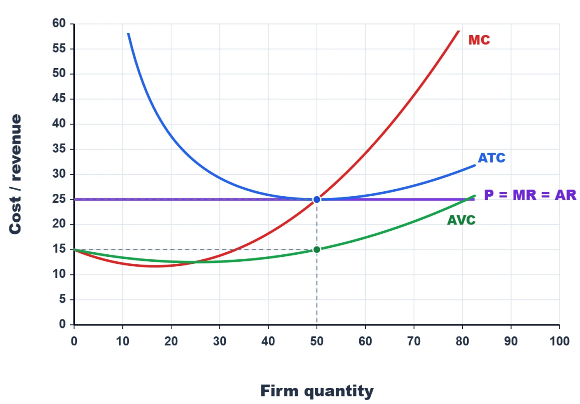
HOW TO RECOGNIZE IT

- Look for many firms, a standardized product, easy entry, and no control over market price.
- A price-taking firm can sell another unit without lowering its price.
- For the competitive firm, price, average revenue, and marginal revenue are equal.
- Treat market price as a horizontal line in the individual firm's graph.

WATCH OUT

A common mistake is to separate price, average revenue, and marginal revenue for a price-taking firm. Under perfect competition, P = AR = MR.

WORKED EXAMPLE: REVENUE FOR A PRICE TAKER



The competitive firm takes the market price of $25, so P = MR = AR. The horizontal price line meets marginal cost at 50 units, and total revenue is $25 x 50 = $1,250. Because ATC is also $25 at that output, the firm earns zero economic profit.

CHECK YOURSELF

Why does total revenue rise linearly with output?

READY? Return to the game and master this concept.